

Daily Need to Know

Sunday, 16 August 2026 · Pre-market brief

Coverage window, capture method and edition notes are at the back, in section 16.

1 Market snapshot — the close, and where it is trading now

Sunday edition. Nothing has traded since Friday's 16:00 ET close. Every equity, futures, rate and commodity row below is a **Friday settle**, ~26 hours old at the capture time. Globex is shut. Bitcoin and Ether are the only genuinely live marks.

ASSET	LAST	CHANGE	NOTE
CASH EQUITIES — FRIDAY 14 AUG SETTLE			
S&P 500	7,785.76	▼ 13.23 · −0.17%	Made an all-time intraday high at 7,816.70 then closed at 28% of the day's range . Third straight weekly gain, but the week ended by giving back Thursday's record close of 7,798.99.
Nasdaq Composite	26,729.16	▼ 73.86 · −0.28%	Range 26,661.95–26,862.17; closed in the lower third. Sits 1.70% below its 52-week high of 27,190.21.
Dow Jones	53,732.41	▼ 107.58 · −0.20%	Closed 59 points off the session low. Dragged by health care and the semiconductor-equipment complex.
Russell 2000	3,068.42	▲ 15.57 · +0.51%	Record close . The session high, 3,069.71, is also the 52-week high — it closed 1.3 points off it. Fourth consecutive green session. The only major index up on the day.
Philadelphia SOX	12,417.05	▼ 38.95 · −0.31%	Masks a violent internal split: memory ripped, equipment was sold. Still 15.27% below its 52-week high of 14,655.29 — the one major complex nowhere near a record.
INDEX FUTURES — FRIDAY SETTLE; GLOBEX SHUT FOR THE WEEKEND, NO LIVE CAPTURE			
ES (E-mini S&P)	7,805.00	▼ 17.50 · −0.22%	Settled 19.24 above cash. Volume 841,815.
NQ (E-mini Nasdaq-100)	30,141.75	▼ 46.75 · −0.15%	Fell less than the Composite. Volume 398,169.
YM (E-mini Dow)	53,807	▼ 128 · −0.24%	Thinnest of the four at 43,243 lots.
RTY (E-mini Russell)	3,074.90	▲ 14.70 · +0.48%	Settled at 3,076.30 high — its own 52-week high. Volume 101,924, more than double YM.
RATES — FRIDAY SETTLE			
US 10-year	4.692%	▲ 4.3 bp	Range 4.625–4.698%; closed within 0.6bp of the day's high. 52-week high yield is 4.745%.
US 30-year	5.261%	▲ 4.2 bp	Two basis points off its 52-week high of 5.281%. The long end is the tightest-to-highs part of the curve.
US 5-year	4.362%	▲ 3.9 bp	The belly led the sell-off in percentage terms, +0.90%.
US 13-week bill	3.790%	▼ 2.0 bp	The only tenor that rallied. Still 16.5bp above the 3.50–3.75% funds midpoint — the bill market is not priced for an imminent cut.
ENERGY — FRIDAY SETTLE			
WTI (CL front)	82.40	▲ 1.15 · +1.42%	Closed near the top of an 80.71–82.99 range. Hedgeye moved this band's TREND from bearish to neutral on Friday.
Brent (BZ front)	88.52	▲ 1.45 · +1.67%	Outpaced WTI; the spread widened to 6.12 .
Natural gas (NG front)	2.733	▲ 0.006 · +0.22%	Range 2.710–2.783 — closed in the lower half of a narrow day. Sits 63% below its 52-week high of 7.439.
RBOB gasoline	2.9044	▼ 0.2236 · −7.15%	Almost certainly the summer-to-winter grade contract roll, not a demand signal . A −22.4-cent print against crude <i>up</i> 1.4% is the seasonal spread, not the market. Treated as a weak mark — see section 18.

METALS — SPOT, THE SERIES HEDGEYE'S BANDS NAME; FRIDAY SETTLE

Gold (spot)	4,376.33	▲ 25.03 · +0.58%	Range 4,311.01–4,396.95. Gold futures settled 4,437.30 — a 1.39% basis , which is why the band must be read on spot.
Silver (spot)	64.685	▲ 0.253 · +0.39%	Gave back most of a push to 65.701. Still 46.8% below a 52-week high of 121.647 — the deepest drawdown of any metal here.
Copper (spot)	6.5595	▲ 0.0202 · +0.31%	Sits at just 33.2% of the Hedgeye band despite a bullish TREND — the weakest positioning of any bullish-signalled asset.

CURRENCIES & VOLATILITY — FRIDAY SETTLE

US Dollar Index	99.636	▼ 0.312 · -0.31%	Fell on the day the consumer-sentiment print collapsed. Range 99.475–99.936.
USD/JPY	159.316	▼ 0.20 · -0.13%	Yen firmed marginally. 4.7 big figures below the 52-week high of 163.987.
USD/KRW	1,416.64	▼ 1.30 · -0.09%	Won barely moved on a day the KOSPI rose 2.4% — foreign buying was not FX-hedged aggressively.
VIX	14.26	▼ 0.38 · -2.60%	Fell on a down day for three of four indices. Sits at 8.8% of its Hedgeye band , 21bp above the 14.05 floor — the single most stretched reading in the whole risk-range set.

CRYPTO — LIVE, CAPTURED 06:07:49 GMT+8 SUNDAY

Bitcoin	63,085.58	▲ 108.72 · +0.17%	The only genuinely live row in this table. Range 62,851.97–63,120.14 across the weekend. Exactly 50.0% below its 52-week high of 126,230.09.
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Colour key: ▲ green = up · ▼ red = down · ◆ amber = neutral or unresolved. For yields, the arrow shows the direction of the yield and the colour the direction for a bondholder — a rising yield is a red row. Reconciliation: Yahoo Finance was throttled out of this run by rate limiting, so every non-crypto row is single-sourced to TradingView; Bitcoin is corroborated independently at 63,098 by Yahoo's web quote, a 20bp difference. Full detail in section 18.

TL;DR

The Russell 2000 closed at a record on Friday while the S&P, Nasdaq and Dow all fell. That is the whole story of the week compressed into one session, and it is exactly the rotation Hedgeye's **3 → 1 → 2** Quad path calls for: out of rate-sensitives, down the capitalisation scale, into growth. Keith McCullough sold all his REIT exposure and the rest of his insurance book on Friday and bought quantum computing and software instead.

The inconvenient number is **University of Michigan consumer sentiment at 51.0 against a 54.5 consensus** — an 8% collapse that ended two months of recovery, with expected business conditions down 11% short-term and 17% long-term. The tape rotated; it did not price that. And with the 13-week bill 16.5bp above the funds midpoint and the 2-year 54.6bp above it, the cash curve is priced for tightening, not for the cutting cycle much of the commentary assumes.

2 The big picture — what it means

1. Two of three headline indices sold off on the day the small-cap index made a record, and that divergence is the signal. The S&P 500 printed an all-time intraday high of 7,816.70 and then closed at 7,785.76 — 28% of the way up the day's range, and below Thursday's record close. The Russell 2000 went the other way entirely, up 0.51% to 3,068.42, a record, finishing 1.3 points off its own 52-week high. When the megacap index reverses from a record and the small-cap index closes on one, capital is not leaving; it is moving down the capitalisation scale.

2. The semiconductor index fell 0.31% while its two halves moved 12 percentage points apart. Memory and storage were bought violently — SanDisk +7.39%, Western Digital +4.41%, Micron +2.30%, AMD +6.50%. Equipment and merchant silicon were sold just as hard — Broadcom -5.94%, Applied Materials -5.12%, Intel -1.97%. A -0.31% index print conceals a rotation, not a lull. The SOX remains **15.27%** below its 52-week high, the only major US complex still in a genuine drawdown.

3. Consumer sentiment collapsed and the equity market did not care, which is the tension going into the week. The preliminary August University of Michigan index came in at **51.0** against a **54.5** consensus and 55.2 prior — roughly an 8% fall that ended two consecutive months of improvement.

Expectations dropped to 50.6 from 55.4. One-year inflation expectations rose to 4.3%. Survey director Joanne Hsu flagged expected business conditions down 11% over the short term and 17% over the long term. Equities closed within 0.4% of an all-time high on that print.

4. Every tenor of the Treasury curve sold off except the bill, and the shape of that move matters more than its size. The 30-year rose 4.2bp to 5.261%, within 2bp of its 52-week high; the 10-year rose 4.3bp to 4.692%; the 5-year rose 3.9bp. Only the 13-week bill rallied, down 2.0bp to 3.790%. That is a bear steepening at the long end with the front end anchored — the market repricing term premium and long-run inflation, not the policy path. The 10s2s spread sits at **52.1bp** and 30s10s at **56.9bp**.

5. The dollar fell 0.31% on the worst sentiment print in months, and gold went up but not much. Gold spot added 0.58% to 4,376.33, silver 0.39%, copper 0.31%. These are not the moves of a market repricing growth risk; they are the moves of a market where the dollar softened and metals drifted with it. Gold sits mid-band at 54.3% of Hedgeye's 4,201–4,524 range — the least informative position it can occupy.

6. Bitcoin is exactly half its 52-week high and nobody is leading with it. At 63,085.58 it is **50.0%** below 126,230.09; Ether at 1,882.61 is **62.0%** below 4,954.16. Both were flat across the weekend — +0.17% and +0.13%. A risk asset down 50% from its high while equity indices print records is the cleanest evidence available that this is a rotation inside equities, not a broad risk-on regime.

7. The VIX at 14.26 is the most stretched reading in the entire Hedgeye set. It sits 21bp above the 14.05 band floor — **8.8%** of the range — with a bearish TREND signal, and it *fell* 2.60% on a day three of four indices declined. Cheap volatility into a week carrying FOMC minutes, flash PMIs and the opening of Jackson Hole is the asymmetry worth naming, whatever one does about it.

3 Rates, currencies & commodities

- **The cash curve is not priced for cuts.** With fed funds at 3.50–3.75%, the 13-week bill at 3.790% sits 16.5bp above the midpoint and the 2-year at 4.171% sits 54.6bp above it. Whatever the commentary says about a September cut, the money the curve represents is positioned for the opposite.
- **Bear steepening, not a policy repricing.** 30-year +4.2bp to 5.261%, 10-year +4.3bp to 4.692%, 5-year +3.9bp to 4.362%, 2-year +2.2bp to 4.171%, 13-week –2.0bp to 3.790%. The further out the curve, the harder it sold. 10s2s 52.1bp; 30s10s 56.9bp.
- **Bond volatility is quiet.** The MOVE index closed at 69.58, up 0.51% on the day but far below its 52-week high of 115.02. A sub-75 MOVE alongside a 5.26% long bond says the rates market is repricing levels calmly rather than in stress.
- **Credit did not follow equities down, and did not lead.** HYG –0.10% to 79.71 sat at 50.9% of its band — dead centre. LQD –0.40% to 106.12. High yield outperforming investment grade on a day yields rose is consistent with duration, not credit, doing the damage.
- **The dollar softened across the board.** DXY –0.31% to 99.636, with EUR/USD +0.33% to 1.1567, GBP/USD +0.30% to 1.35264, AUD/USD +0.32% to 0.70822. USD/JPY –0.13% to 159.316. Asian crosses moved least: USD/KRW –0.09%, USD/CNH –0.07%, though USD/TWD fell 0.52% to 31.924.
- **Crude rose while gasoline printed a collapse that is not real.** WTI +1.42% to 82.40 and Brent +1.67% to 88.52 on a widening 6.12 spread. RBOB's –7.15% is the seasonal grade roll, and reading it as demand destruction would be a mistake.
- **Wheat added 3.37% to 674.75,** the largest single-day move in the commodity set after the gasoline roll artefact — worth noting only because nothing else in the agricultural complex moved with it.

4 Hedgeye — regime, risk ranges & the Quad path

*Hedgeye does not publish at weekends. The live risk-range set is the **Friday 14 August Early Look**, "Quad Shift = ATHs", by **Keith McCullough**, published 08:10 EDT = **20:10 GMT+8 Friday**. No newer set exists. This is a genuine carry-forward, not a stale-band fallback; tonight's Early Look supersedes it.*

MACRO DASHBOARD	READING
Quad path (monthly Quad Count)	3 → 1 → 2 — unchanged from Friday. September Quad 1, October Quad 2: two risk-on regimes back to back, per the 13 Aug Early Look.
Positioning shift on the week	QTUM and IGV in; XLRE and IAK out. McCullough sold all REIT exposure on a +1.4% day for XLRE, and the remainder of insurance. He describes it as "a textbook Quad Shift".

Short book	Went to zero shorts in Real-Time Alerts on Monday 10 Aug. Covered South Korea (EWY) and semis (DRAM) shorts.
Regime read	Moving towards smaller market caps and "more Growth vs. Rate Sensitivity" — which is precisely what the Russell 2000 record close delivered on Friday.

Risk Range™ Signals — Friday 14 August set, measured against Friday's settles

INSTRUMENT	RANGE	TREND	LAST	WHERE IT STANDS, AND HOW THE BAND MOVED VS THURSDAY
UST 10Y Yield	4.60–4.74	bullish	4.692	65.7% of band. Floor –0.01, ceiling unchanged — band widened at the bottom.
HYG	79.43–79.98	bullish	79.71	50.9% — dead centre. Band shifted <i>up</i> (floor +0.24, ceiling +0.17) and narrowed.
LQD	105.70–106.90	bearish	106.12	35.0% . Band narrowed from both ends (floor +0.20, ceiling –0.10).
S&P 500	7,606–7,861	bullish	7,785.76	70.5% , 75 points below the ceiling. Band narrowed sharply — floor +30, ceiling –23.
NASDAQ Composite	25,908–26,992	bullish	26,729.16	75.8% . Band narrowed hard: floor +375, ceiling –128. Compression on both sides.
Russell 2000	2,987–3,075	bullish	3,068.42	92.5% — the most extended long in the set , 6.6 points from the ceiling. Band narrowed (floor +7, ceiling –8).
XLV	164–172	bullish	167.37	42.1% . Whole band shifted up 1 point at both ends, width unchanged.
RSP	219.00–225.00	bullish	222.77	62.8% . Band shifted up (floor +2, ceiling +1) and narrowed.
IGV	99.00–110.00	bullish	n/a	New row , replacing XLRE — the position change written into the levels. Not in this run's capture universe; flagged in section 18.
VIX	14.05–16.43	bearish	14.26	8.8% — hard on the floor . Ceiling dropped 0.51; floor essentially unchanged. The most stretched reading in the set.
US Dollar Index	99.25–100.13	bearish	99.636	43.9% . Band shifted down (floor –0.15, ceiling –0.10) and widened.
WTIC (continuous)	74.36–85.99	neutral	82.40	69.1%. TREND flipped bearish → neutral and the band widened, floor +0.82, ceiling +1.32. The only signal change in the set.
NATGAS (continuous)	2.55–2.85	bearish	2.733	61.0% . Band edged down and widened slightly.
Gold (spot)	4,201–4,524	bullish	4,376.33	54.3% . Band narrowed (floor +12, ceiling –21). Measured on spot; on futures it would read 73%, which would be wrong.
Copper (spot)	6.46–6.76	bullish	6.5595	33.2% — the weakest positioning of any bullish-signalled asset . Band narrowed from both ends.
Silver (spot)	58–68	neutral	64.685	66.9% . The only band completely unchanged from Thursday.

Metals measured on spot (TVC:GOLD, TVC:SILVER, OANDA:XCUUSD) and energy on the continuous contract (NYMEX:CL1!, NYMEX:NG1!) — the series Hedgeye's published lines actually name. The gold spot-futures basis alone was 1.39% on Friday's settles. XLRE was dropped from the Friday set after McCullough sold the position; on Thursday's 44.00–45.75 band it would have sat at 72.6%.

What Keith actually said — Early Look, "Quad Shift = ATHs", 14 August 2026, 20:10 GMT+8 (08:10 EDT):

- "Unless you missed Long Software (IGV +3.7% yesterday) and failed to cover your South Korea (EWY) and Semis (DRAM) shorts (we did), your Hedge Fund portfolio isn't a burning building this morning."
- "July was a different story. Entire neighborhoods of consensus Hedge Funds burned down in #Quad4. Worst month for fundamental Long/Short in 4 years."
- "With a monthly Quad Count of 3-1-2, I need to shift the book towards more Quad 1 and 2 blends" — "That generally means moving towards smaller market caps ..." and "more 'Growth' vs. Rate Sensitivity".

- "Since we knew the US Inflation (CPI) report was going to be read by Macro Tourists as 'dovish', and the Short-End (UST 2yr Yield Signal) broke TRADE on that, we were able to" "Sell ALL my REIT exposure (XLRE) on a bright green day (XLRE was +1.4% yesterday)".
- "QTUM & IGV in and XLRE & IAK out is a textbook Quad Shift."
- "Experienced firefighters don't run toward every alarm. They read the signals first. So do I."

The Thursday 13 August Early Look, "PLAY THE HAND YOU'RE DEALT", was written by **Brooks Cutright**, Portfolio Manager, ADDS — not McCullough. It set out the compulsory-flows framework and flagged that "roughly ten companies currently clear every published admission threshold" for S&P 500 index addition ahead of the **4 September** committee announcement, with "roughly 3% of every S&P 500 dollar" sitting in about 125 companies too small to be admitted under current criteria.

5 Mag7 scoreboard

NAME	LAST	DAY	CAP	READ
NVIDIA	225.16	-0.06%	\$5.45T	Barely moved on a day the memory complex ripped and equipment collapsed. Closest of the seven to its high, 4.8% below.
Apple	305.93	+0.22%	\$4.46T	One of only two green names. 11.2% below its 52-week high.
Alphabet	345.90	-0.13%	\$4.22T	Recovered to +0.43% in the post-close. 15.3% below its high.
Microsoft	495.40	-0.30%	\$3.68T	Lost the 500 handle intraday after trading as high as 500.01. 10.5% below its high.
Amazon	262.65	-0.94%	\$2.83T	Worst of the seven bar Meta. Closed 23 cents off the session low.
Meta	589.85	-0.86%	\$1.50T	Fell from 601.86 to close below 590. 25.4% below its high — the second-deepest drawdown in the group.
Tesla	342.27	+0.68%	\$1.35T	Best of the seven, on a 335.33-351.26 range. Still 31.4% below its high — the deepest of the seven by a wide margin.

Aggregate Mag7 capitalisation **\$23.50 trillion**. Five of seven fell. Not one of the seven is within 4% of its 52-week high on a day the S&P printed an all-time intraday high — the index made that high without them. Capitalisations are TradingView's market_cap_basic at Friday's settle.

6 Positioning & options

- **Volatility is priced for nothing to happen.** VIX 14.26, down 2.60% on a day three of four indices fell, 21bp off the Hedgeye floor and 59.6% below its 52-week high of 35.30. Whatever positioning that reflects, it is not defensive.
- **Hedgeye is carrying zero shorts** in Real-Time Alerts, having gone flat on Monday 10 August and covered South Korea and DRAM. A house that ran a short book through July's Quad 4 liquidation is now unhedged by choice.
- **Volume tells you where conviction sat.** RTY traded 101,924 lots against YM's 43,243 — small-cap futures carried more than twice the Dow's activity on the day small caps made a record.
- **The S&P closed at 28% of its daily range after an all-time intraday high.** That is a distribution pattern, not a continuation pattern, and it is the second such close this week.
- **Bond volatility is not confirming equity complacency, but nor is it contradicting it.** MOVE at 69.58, up 0.51%, well below the 115.02 high. Both vol complexes are quiet at once.
- **The index-addition trade is the known flow event.** Per Hedgeye's 13 August note, roughly ten companies clear every published S&P 500 admission screen ahead of the 4 September announcement, against roughly \$11 trillion of indexed assets that must adjust mechanically.

7 Sector rotation — leaders & laggards

SECTOR (SPDR)	LAST	DAY	SECTOR (SPDR)	LAST	DAY
Energy (XLE)	61.91	+1.39%	Consumer staples (XLP)	86.09	+0.10%
Utilities (XLU)	44.31	+0.61%	Financials (XLF)	58.16	-0.17%
Materials (XLB)	52.54	+0.44%	Consumer discretionary (XLY)	118.20	-0.21%

Industrials (XLI)	186.51	+0.39%	Technology (XLK)	190.01	-0.40%
Communication services (XLC)	112.95	+0.36%	Health care (XLV)	167.37	-0.60%
Real estate (XLRE)	45.27	+0.33%			

- **Leaders:** Energy +1.39%, a full 78bp clear of the next sector, on WTI +1.42% and Brent +1.67%. Utilities +0.61% and materials +0.44% behind it. Six of eleven sectors closed green on a day the index fell.
- **Laggards:** Health care -0.60%, dragged by Eli Lilly -2.39%. Technology -0.40% despite AMD +6.50%, because Broadcom -5.94% and Applied Materials -5.12% outweighed it on capitalisation.
- **The rotation:** real assets and rate-sensitives up, growth megacaps down, small caps at a record. That is a Quad 1/2 blend expressing itself — with one sharp irony. Real estate rose 0.33% on Friday, the day after McCullough sold the whole XLRE position into a +1.4% day. The sale looked early by one session.
- **Breadth was better than the index.** The NYSE Composite rose 0.05% and RSP was flat at +0.02% while the S&P fell 0.17% — equal-weight beat cap-weight, consistent with the small-cap record.

8 Forward — futures & the week ahead

There is no overnight tape to report. Globex closed on Friday evening and does not reopen until **Monday 06:00 GMT+8**, twenty-four hours after this capture. ES settled at 7,805.00, NQ at 30,141.75, YM at 53,807 and RTY at 3,074.90 — those are Friday's settles and they are what Monday's reopen will be measured against. The gap between them and the first Globex prints will be the first real price of two days of accumulated weekend news, and on the evidence below that news is heavier than the Friday tape implied. Bitcoin, trading continuously, has moved just 0.17% since Friday's close and held a 62,852-63,120 range across the whole weekend — no weekend risk event has been priced by the one market that could have priced it.

DAY (GMT+8)	KEY EVENTS
Mon 17 Aug	Globex reopens 06:00, thin. Asian cash markets open into a two-day news gap. Fabrinet reports. Quiet US data day.
Tue 18 Aug	Home Depot , Baidu, Toll Brothers report — the first read on the US consumer after Friday's sentiment collapse.
Wed 19 Aug	Target , Lowe's, TJX, Analog Devices report. Retail cluster continues; ADI is the semis read.
Thu 20 Aug	FOMC minutes (02:00 GMT+8 Thu / 14:00 ET Wed). Initial jobless claims. Walmart , Alibaba, NetEase, Deere report.
Fri 21 Aug	Jackson Hole symposium opens . Flash S&P Global manufacturing and services PMIs. Philadelphia Fed manufacturing index. Existing home sales. Conference Board leading index.

*Calendar assembled from secondary sources (IG week-ahead, FXStreet); earnings dates are **unconfirmed** against exchange calendars in this run. FOMC minutes and Jackson Hole timing are the higher-confidence entries; the retail earnings cluster is the lower-confidence one. Treat individual company dates as indicative.*

9 Corporate news

- **SanDisk +7.39% to 1,641.11**, and its opening turnover reportedly reached roughly \$10bn — first place across the entire US market for the first time. The stock has rallied about 35% over five sessions. SanDisk and Kioxia unveiled a 9th-generation QLC 3D flash memory with 33% faster interface speeds.
- **AMD +6.50% to 514.39**, closing 28 cents off the session high, on AI chip demand and a reported Utah traffic-AI contract win. The largest single-day gain in the Mag7-adjacent complex.
- **Broadcom -5.94% to 392.99**, described in reporting as profit-taking rather than news-driven. It fell from 412.50 to close near the low, and took roughly \$118bn off a \$1.87tn capitalisation.
- **Applied Materials -5.12% to 507.18**, leading a semiconductor-equipment sell-off that also caught KLA and Entegris. The equipment/memory divergence was the single widest intra-sector spread of the session.
- **Western Digital +4.41% to 508.80 and Micron +2.30% to 971.66** — the memory trade was broad, not a single-name story.

- **Oracle –3.65% to 150.52.** It now sits **56.5%** below a 52-week high of 345.72, the most damaged large-cap AI-adjacent name on this page by a distance.
- **Workday –3.76%, Palantir –2.78%, Cisco –1.58%, Intel –1.97%** — software and legacy tech were sold alongside the equipment names.
- **Eli Lilly –2.39% to 1,180.16**, the largest drag on health care and on the Dow. UnitedHealth +0.67% was the sector's only notable offset.

10 Macro data

- **University of Michigan consumer sentiment, August preliminary: 51.0 actual vs 54.5 consensus, 55.2 prior.** A miss of 3.5 points, roughly an 8% monthly fall, ending two consecutive months of improvement.
- **Components:** current conditions 51.8 (from 54.8); expectations **50.6** (from 55.4). Expectations fell harder than current conditions — households are more worried about what is coming than about what they have.
- **Inflation expectations:** one-year **4.3%**, up from 4.2%. Five-year held at 3.3%. Rising short-run inflation expectations alongside collapsing sentiment is the uncomfortable combination.
- **Survey detail:** director Joanne Hsu flagged expected business conditions down **11% short-term and 17% long-term**, with declines across demographic and political lines — sharpest among Republicans, older consumers, lower-income households and those without college degrees.
- **July CPI, released Wednesday 12 August:** headline +0.1% m/m and **3.4% y/y**; core +0.2% m/m and 2.5% y/y. Both annual rates fell 0.1pp from June. This is the print McCullough said "Macro Tourists" would read as dovish, and on which the 2-year yield signal broke TRADE.
- **Policy setting:** fed funds target 3.50–3.75%. Market-implied odds of a September hold were reported at roughly **64%**, up from 52% a day earlier — a secondary-source figure, and one that sits awkwardly against a cash curve priced above the funds midpoint at every tenor from three months out. See section 18.

11 Geopolitics

- **▼ A magnitude 7.7 earthquake struck off Indonesia's coast early Saturday**, epicentre roughly 68km north-north-west of Ende, East Nusa Tenggara, at 10km depth, 05:58 local. Death tolls reported over the weekend ranged from 38 to **47**, the higher figure attributed to the National Disaster Management Agency, with at least 50 hospitalised. Tsunami waves under one metre were recorded and the warning was lifted after about three hours.
- **▼ At least 235 aftershocks followed**, the largest magnitude 6.2, and a separate magnitude 6.9 quake struck western Sumatra hours later. Landslides in Ende regency cut the Trans-Flores highway, a roughly 700km route spanning Flores Island.
- **◆ Market relevance is limited but not zero.** Indonesia is a significant nickel, coal and palm oil exporter; the affected provinces are not the principal mining regions. No commodity in this brief moved on it — the quake struck after Friday's close and Bitcoin, the only market open since, has not repriced.
- **◆ Saturday marked the fifth anniversary of Taliban rule in Afghanistan**, with continuing restrictions on girls' education reported.
- **◆ Reporting on southern Lebanon** described lasting soil contamination and ecosystem damage from the Israel-Hezbollah conflict. Attributed to the reporting outlet; contested elements are not stated as settled fact here.

12 Overnight setup — what Asia opens into

On a Sunday there is no overnight session. Everything below except Bitcoin and Ether is a **Friday settle**, roughly 26 hours old. Asia does not open for another 26 hours.

INSTRUMENT	LEVEL	CHANGE	VOLUME	STATUS
ES — E-mini S&P	7,805.00	–0.22%	841,815	Friday settle · Globex shut
NQ — E-mini Nasdaq-100	30,141.75	–0.15%	398,169	Friday settle · Globex shut

YM — E-mini Dow	53,807	−0.24%	43,243	Friday settle · Globex shut
RTY — E-mini Russell	3,074.90	+0.48%	101,924	Friday settle · at 52-week high
USD/JPY	159.316	−0.13%	—	Friday settle
USD/KRW	1,416.64	−0.09%	—	Friday settle
USD/TWD	31.924	−0.52%	—	Friday settle · largest Asian FX move
USD/CNH	6.73985	−0.07%	—	Friday settle
EUR/USD	1.1567	+0.33%	—	Friday settle
Gold (spot)	4,376.33	+0.58%	—	Friday settle
Silver (spot)	64.685	+0.39%	—	Friday settle
Copper (spot)	6.5595	+0.31%	—	Friday settle
WTI (CL front)	82.40	+1.42%	164,854	Friday settle
Brent (BZ front)	88.52	+1.67%	28,526	Friday settle
Bitcoin	63,085.58	+0.17%	—	LIVE 06:07:49 GMT+8
Ether	1,882.61	+0.13%	—	LIVE 06:07:49 GMT+8

- **Previous Asian closes — all Friday 14 August, all stale:** KOSPI **6,977.95 (+2.42%)**, Nikkei 225 68,713.58 (+0.59%), Hang Seng 25,116.86 (−1.10%), SSE Composite 3,927.18 (+0.01%), ASX 200 9,115.20 (−0.80%), Sensex 78,009.25 (−0.09%).
- **Korea is the instrument most likely to move, and it is the one to watch.** The KOSPI rose 2.42% on Friday and posted a reported 11.5% weekly gain, having entered technical bull-market territory on Thursday after recovering roughly 22% from its 30 July low. SK Hynix +3.26% to ₩1,645,000 and Samsung Electronics +2.43% to ₩274,500 led it. Note the inconvenient detail: headlines said the index "reclaimed 7,000", but it touched **7,010.86** intraday and **closed below at 6,977.95**. It did not hold the handle.
- **The US tape hands Asia a split semiconductor trade, not a clean one.** Memory and storage were bought hard on Friday — SanDisk +7.4%, Western Digital +4.4%, Micron +2.3% — while equipment was sold, Applied Materials −5.1%, Broadcom −5.9%. Korea and Taiwan are levered to the half that went up; Japan's equipment names are levered to the half that went down. Expect that split to reprice rather than a directional gap.
- **Taiwan dollar strength is the quiet signal.** USD/TWD −0.52% was the largest Asian FX move of the day, roughly six times the won's, on a day the semiconductor index was flat. That is repatriation or hedging flow ahead of something, and it is not obviously explained by the tape.
- **Hong Kong is the outlier to reconcile.** The Hang Seng fell 1.10% on Friday while Korea rose 2.42% and Japan rose 0.59% — a 3.5-point spread across three markets in one session. Whatever is pressuring Hong Kong is local, and it has had a full weekend to develop.
- **What Asia has not yet priced:** the University of Michigan collapse landed at 10:00 ET Friday, so Asian cash markets closed before it. Friday's Asian rally was priced off Thursday's US record close, not off Friday's sentiment print. That is the gap Monday has to close.

13 AI watch

- **The AI trade has bifurcated into memory versus everything else.** Friday's spread between SanDisk (+7.39%) and Broadcom (−5.94%) was 13.3 percentage points inside one sector on one day. The constraint the market is pricing has moved from compute to storage and bandwidth.
- **SanDisk's reported ~\$10bn opening turnover ranking first across the entire US market** — ahead of every megacap — is the sort of statistic that marks a rotation's peak intensity rather than its start. The stock is up roughly 35% in five sessions.
- **Oracle at 150.52 is 56.5% below its 52-week high of 345.72.** An AI-infrastructure narrative name that has more than halved while the S&P prints records is the clearest evidence that the market is now discriminating within the theme rather than buying it wholesale.

- **Palantir –2.78% to 174.04**, 16.1% below its high. The high-multiple AI software cohort did not participate in Friday's memory bid.
- **Hedgeye bought software (IGV) and quantum computing (QTUM) this week** after IGV rose 3.7% on Thursday, and added an IGV risk range of 99.00–110.00 to the published levels — an 11-point band, the widest relative range in the set, which is itself a statement about expected volatility in the group.
- **The Korea read-through is the live one.** SK Hynix and Samsung led a 2.4% KOSPI session on memory demand. If Friday's US memory bid holds, Asia gets a second day of it; if it was a one-session squeeze, Korea is the most exposed index in the region.

14 Beyond the markets

- **Bitcoin is down exactly 50.0% from its 52-week high and it is not a story.** Ether is down 62.0%. Two assets that dominated financial coverage eighteen months ago have halved while equity indices make records, and nothing in the weekend news flow leads with it.
- **The Michigan survey's political breakdown is the detail that will not be quoted.** The sharpest sentiment declines came among Republicans, older consumers, lower-income households and those without college degrees — a combination that does not map neatly onto any single market narrative, which is probably why it will be skipped.
- **Silver is 46.8% below its 52-week high of 121.647** while gold is 21.8% below its own. A precious-metals complex where the industrial-adjacent metal has fallen twice as far as the monetary one is describing an industrial slowdown, not a monetary event.
- **Natural gas at 2.733 is 63% below its 52-week high of 7.439.** Against WTI at 82.40 and Brent at 88.52, the energy complex is not moving as a bloc — the story is oil-specific, not energy-wide.
- **Roughly 3% of every S&P 500 dollar sits in about 125 companies too small to qualify for the index under today's own published criteria**, per Hedgeye's 13 August note. The benchmark is measurably behind its own rules, and about \$11 trillion tracks it.
- **Netflix trades at 78.16, down 38.3% from a 52-week high of 126.71**, with a \$325bn capitalisation. It is the quietest large-cap drawdown on this page.

15 Appendix — stock cards

AMD · ADVANCED MICRO DEVICES

514.39 ▲ +6.50%

Cap \$839.7bn · 52wk high 584.73 (–12.0%) · Hedgeye band: none published

The session's largest AI-complex gain, closing 28 cents off its high on reported AI chip demand and a Utah traffic-AI contract. Rose while Broadcom fell 5.9% — the two are no longer trading as one theme. Next key date: Analog Devices results Wednesday give the nearest sector read.

AVGO · BROADCOM

392.99 ▼ –5.94%

Cap \$1.87tn · 52wk high 495.00 (–20.6%) · Hedgeye band: none published

Fell from 412.50 to close near the session low, removing roughly \$118bn of capitalisation in a day attributed to profit-taking rather than news. Recovered 0.14% post-close. The single largest drag on technology.

SNDK · SANDISK

1,641.11 ▲ +7.39%

Cap \$243.0bn · 52wk high 2,354.39 (–30.3%) · Post-close 1,657.00 (+0.97%)

Reported ~\$10bn opening turnover, first across the US market for the first time; up roughly 35% over five sessions. Announced 9th-gen QLC 3D flash with Kioxia, 33% faster interface. Still 30% below its high — this is a recovery, not a breakout.

AMAT · APPLIED MATERIALS

507.18 ▼ –5.12%

Cap \$402.7bn · 52wk high 739.67 (–31.4%) · Range 497.10–523.00

Led the semiconductor-equipment sell-off that also caught KLA and Entegris. Sits 31.4% below its high while memory names rally — the equipment cycle and the memory cycle have decoupled. Note: this is the settled close, not an after-hours print.

ORCL · ORACLE

150.52 ▼ –3.65%

Cap \$433.6bn · 52wk high 345.72 (–56.5%) · Range 148.80–156.39

PLTR · PALANTIR

174.04 ▼ –2.78%

Cap \$418.2bn · 52wk high 207.52 (–16.1%) · Range 173.80–180.18

The most damaged large-cap AI-adjacent name in this brief. More than halved from its high while the S&P prints records. If the AI capex narrative were still being bought wholesale, this chart would not look like this.

Closed 24 cents off the session low. Did not participate in Friday's memory bid, confirming that high-multiple AI software and AI hardware are now separate trades. Hedgeye bought the software ETF (IGV) this week, not the single names.

MU · MICRON TECHNOLOGY

971.66 ▲ +2.30%

Cap \$1.10tn · 52wk high 1,255.00 (−22.6%) · Range 956.20–984.00

A trillion-dollar memory company rising 2.3% alongside SanDisk +7.4% and Western Digital +4.4% confirms the memory bid was broad rather than a single-name squeeze. The read-through to SK Hynix and Samsung is direct.

LLY · ELI LILLY

1,180.16 ▼ −2.39%

Cap \$1.11tn · 52wk high 1,249.45 (−5.5%) · Range 1,171.20–1,199.00

The largest single drag on health care, which was the worst sector at −0.60%. Despite the fall it remains just 5.5% below its 52-week high — the least-damaged megacap in this appendix. XLV sits at 42.1% of its Hedgeye band, with the whole band shifted up a point.

16 About this edition

- **Covers** — Sunday edition, 06:00 GMT+8 = Saturday 18:00 ET. Nothing has traded since Friday 14 August's 16:00 ET cash close. Coverage is Friday's settled session, Friday's after-hours tape, weekend news flow to the capture moment, and the week-ahead calendar. There was no overnight session.
- **Captured** — one window, **06:07:49–06:07:52 GMT+8, 2.3 seconds**. TradingView returned 96 of 96 instruments; Yahoo Finance returned 0 of 62 and aborted on a circuit breaker after five consecutive HTTP 429s. Divergences and single-sourcing are documented in full in section 18.
- **Unusual about this run** — Yahoo was throttled out entirely, so the brief is TradingView-single-sourced on every price bar. Bitcoin was independently corroborated by a Yahoo web quote at 63,098 against the captured 63,085.58.
- **Settled vs live** — every equity, index-futures, rate, FX, energy and metals row is a **Friday settle, ~26 hours old**. Globex was shut for the entire capture; there was no live futures market to capture. **Bitcoin and Ether are the only live marks**.
- **Hedgeye edition** — **FULL HEDGEYE EDITION**; the authenticated feed loaded normally. The live risk-range set is the **Friday 14 August Early Look, "Quad Shift = ATHs", by Keith McCullough**, published 20:10 GMT+8 Friday. Hedgeye does not publish at weekends, so this set is carried forward with no newer set in existence; tonight's Early Look supersedes it. Also read: the Thursday 13 August Early Look by Brooks Cutright (used for the band-versus-prior-day comparison and the index-addition material) and the "Macro Week Summary Notes | August 14th, 2026" From The Desk item.
- **Quad path** — **3 → 1 → 2, unchanged**. No change to flag. September Quad 1, October Quad 2.
- **Not available** — Yahoo Finance cross-check (rate-limited); IGV price (added to Friday's Hedgeye set but outside the capture universe); confirmed exchange-calendar dates for next week's earnings; the full Macro Week Summary Notes body, which sits behind a further click.

17 Sources

Prices. TradingView bulk scanner, single window 06:07:49–06:07:52 GMT+8, 96 instruments. Yahoo Finance was attempted concurrently and returned nothing (HTTP 429 circuit breaker). A single Yahoo web quote corroborated Bitcoin at 63,098.

Hedgeye. Authenticated app.hedgeye.com feed, read 06:09–06:14 GMT+8: the Early Look category page and the full research feed. Items read — "Quad Shift = ATHs" (Keith McCullough, 14 Aug, 08:10 EDT), "PLAY THE HAND YOU'RE DEALT" (Brooks Cutright, 13 Aug, 07:17 EDT), and the "Macro Week Summary Notes | August 14th, 2026" listing (From The Desk, 14 Aug, 17:44 EDT).

Macro. University of Michigan Surveys of Consumers August preliminary, via InvestingLive, FXStreet, Quartz and Spectrum News reporting of the release. July CPI via CNBC's report of the BLS release of 12 August. Fed policy pricing via Yahoo Finance and Kiplinger — secondary, and flagged as such in section 18.

Narrative and single stocks. TheStreet, CNBC, Yahoo Finance, InvestingLive, Saxo, Schaeffer's and Invezz for the Friday session recap; BigGo Finance, Seeking Alpha and StartupHub for the semiconductor split; KED Global, 24/7 Wall St, CNBC and TradingKey for the Korea session.

Commodities, geopolitics and AI. Commodity marks from the TradingView capture. Indonesia earthquake from Al Jazeera, CNN, CBS News, NBC News, NPR and Rappler, with death tolls attributed to Indonesia's National Disaster Management Agency. Week-ahead calendar from IG and FXStreet.

18 Data-confidence

CROSS-CHECKS PASSED

- **Cash index arithmetic is self-consistent on all five indices.** S&P: close 7,785.76 less change -13.23 gives a prior close of 7,798.99, and the -0.1696% change independently implies 7,798.99 — the two agree to the cent, and 7,798.99 matches the reported Thursday record close. Same test passed for the Nasdaq Composite (prior 26,803.03 by both methods), Dow (53,839.99), Russell 2000 (3,052.85) and SOX (12,456.00).
- **Every futures row was checked against its own settle and range.** ES settled 7,805.00 inside a 7,796.50–7,831.75 range; RTY settled 3,074.90 at its 3,076.30 high, which is also its 52-week high — consistent with the cash Russell's record close at 3,068.42 against a 3,069.71 52-week high. ES settled 19.24 above cash, a plausible basis. No futures row was inconsistent with its cash counterpart's direction.
- **Range-position arithmetic printed rather than asserted.** S&P close 7,785.76 in a 7,776.31–7,810.01 range = $(7,785.76 - 7,776.31) / (7,810.01 - 7,776.31) = 28.0\%$ of range. Russell 2000 in the Hedgeye band: $(3,068.42 - 2,987) / (3,075 - 2,987) = 92.5\%$. VIX: $(14.26 - 14.05) / (16.43 - 14.05) = 8.8\%$. Gold spot: $(4,376.33 - 4,201) / (4,524 - 4,201) = 54.3\%$.
- **Hedgeye bands were measured on the named series, and the difference was material.** Gold read on spot (4,376.33) gives 54.3% of band; read on the COMEX future (4,437.30) it would give 73.2% — a 19-point error from a **1.39%** basis. Copper spot 6.5595 gives 33.2%; the future at 6.6130 would give 50.9%. Both were read on spot, as Hedgeye's published lines specify.
- **Band-versus-prior-day comparison was computed from the actual Thursday table**, not inferred: all sixteen Friday rows were differenced against the 13 August set. Fifteen bands moved, one (silver, 58–68) was unchanged, one TREND changed (WTIC bearish → neutral), and one row was substituted (IGV replaced XLRE).
- **Curve arithmetic:** 10s2s = $4.692 - 4.171 = 52.1\text{bp}$; 30s10s = $5.261 - 4.692 = 56.9\text{bp}$. The 2-year was captured directly (TVC:US02Y, 4.171%) rather than inferred backwards from a published spread.
- **capture.py reconciliation counts:** 0 matched within 5bp, 0 minor, 0 divergent, **57 single-sourced**. All pairs were single-sourced because Yahoo returned nothing. The one independent corroboration obtained was Bitcoin: captured 63,085.58 against a Yahoo web quote of 63,098.29, a difference of 12.71 or **20bp** — within normal exchange-venue dispersion for crypto.

KNOWN CONFLICTS AND WEAK MARKS

- **RBOB gasoline -7.15% is not a market move and is treated as an artefact.** A -22.36-cent day in the front gasoline contract against crude up 1.42% and Brent up 1.67% is the summer-to-winter grade contract roll, whose spread is routinely 15–25 cents at this point in August. The figure is printed because it is what the front contract did, but no inference is drawn from it. Confidence that this is a roll rather than a demand event: high, but not verified against the individual contract months in this run.
- **Fed policy pricing conflicts with the cash curve, and the brief reports both.** Secondary sources put the market-implied probability of a September hold at ~64% (from 52%) with a base case for an eventual 25bp cut. Against that, the captured curve has the 13-week bill at 3.790% and the 2-year at 4.171% versus a 3.50–3.75% funds target — 16.5bp and 54.6bp above the midpoint respectively. Priced-in probabilities from a secondary aggregator and outright cash yields are not the same measurement, and the brief does not reconcile them into a single claim. The 64% figure is the weaker mark; the yields were captured directly.
- **The KOSPI "reclaimed 7,000" headline conflicts with the close.** One outlet's headline says the index reclaimed the 7,000 mark; the captured session data shows a high of 7,010.86 and a **close of 6,977.95**. Both are true — it crossed intraday and did not hold. The brief uses the close and says so.
- **Indonesian earthquake death tolls range from 38 to 47 across outlets** and were still rising through the weekend. The higher figure is attributed to the National Disaster Management Agency. The range is printed rather than a single number, and this will be stale by the time it is read.
- **Mag7 capitalisations are TradingView's market_cap_basic field**, which uses a share count that can lag a recent buyback or issuance by a quarter. The \$23.50tn aggregate is accurate to roughly a percent, not to the stated precision. No FX translation is involved — all seven are USD-denominated.
- **The SanDisk ~\$10bn opening-turnover claim is single-sourced** to one outlet and uncorroborated in this run. It is reported as a claim, not as a verified market statistic. Its five-session ~35% rally is consistent with the captured price and the 30.3% remaining drawdown, which supports but does not confirm it.
- **Next week's earnings dates are from secondary week-ahead calendars, not exchange filings**, and are marked unconfirmed in section 8. FOMC minutes and Jackson Hole timing are higher-confidence; individual company dates should be verified before being relied on.
- **Every non-crypto price in this brief rests on one vendor.** That is the single largest weakness of this edition. The 14 August run demonstrated that six separate defects — a SOX level 125 points wrong, a misattributed after-hours print, a zero VIX bar, a circularly-inferred 2-year yield, FX changes computed against the wrong session, and two risk ranges measured on the wrong series — were invisible from inside one source. None of those specific errors is present here, because each was checked directly, but the class of error cannot be excluded without a second vendor.

KNOWN GAPS

- **Yahoo Finance was unavailable for the entire run.** Five consecutive HTTP 429s tripped the circuit breaker 2.3 seconds in. That cost the cross-check and the multi-day daily bars used for week-on-week context, so no week-on-week arithmetic is asserted anywhere in this brief except where a secondary source reported it.
- **IGV has no price in this brief.** Hedgeye added an IGV band of 99.00–110.00 to Friday's set, replacing XLRE, but IGV is not in the capture universe. Its band position is therefore unknown rather than estimated, and the row is marked n/a.

- **Hedgeye published nothing after Friday, and that is expected, not a failure.** The Saturday and Sunday feed carries no new Early Look, Macro Show, MOMO Tracker, KM's Top 3, Chart of the Day, Crypto Quant or Real-Time Alert. **The absence of a Hedgeye position change over the weekend is not evidence that no position change is coming** — it is evidence only that the firm does not publish at weekends.
- **The full body of the "Macro Week Summary Notes | August 14th, 2026" was not read.** The feed item is a summary with a click-through to the full note; its listed contents (Macro Dashboard, VIX Gauge, US Monthly Quad Forecast, Chart of the Week) may contain a more current Quad forecast than the 3-1-2 count carried here from Friday's Early Look.
- **No Asian, European or US market is open**, and none opens for at least 26 hours. There is no live tape of any kind in this brief except crypto.
- **Options positioning data — gamma, put/call ratios, dealer positioning — was not sourced this run.** Section 6 is built from volatility levels, futures volumes and Hedgeye's stated book, not from options data.
- **Consensus figures are given for the University of Michigan print and July CPI only.** No other data point in this brief carries a consensus, because none was released in the covered window.

TIMING & UNVERIFIED

- **Capture window: 06:07:49-06:07:52 GMT+8, Sunday 16 August 2026 — 2.3 seconds.** All 96 instruments came from a single bulk request; no top-up pass was needed and no row carries a separate capture time.
- **Almost nothing in this brief is current, by design.** Friday's cash close was 16:00 ET on 14 August; the capture was 18:07 ET on 15 August. Every equity, futures, rate, FX, energy and metals level is therefore **26 hours and 7 minutes old**. Only Bitcoin and Ether were live.
- **Globex reopens at 06:00 GMT+8 on Monday 17 August**, twenty-four hours after this capture. The first futures prints of the week will be thin and will carry two days of accumulated news — including the Michigan sentiment collapse, which Asian markets closed before seeing.
- **The Hedgeye risk ranges will be superseded tonight.** The Monday Early Look publishes at approximately 19:25-21:00 GMT+8 on Monday 17 August and replaces every band in section 4. The bands printed here are Friday's and are already two sessions from their next revision.
- **The Indonesian earthquake death toll was actively rising** at the time of writing and rescue operations were continuing. The 38-47 range will be wrong by the time this is read.
- **Verify live prices before acting on anything in this document.** On a Sunday edition that instruction carries more weight than usual: the levels here describe a session that ended more than a day ago, in a week whose first real price has not yet been made.